

B4 Outline

Do welfare at the market level.

1. Show one exchange, setting the price very low with a price control, thinking through quantity exchanged, and so on.
2. Then thinking about incentives in the price control, and then a move to equilibrium, and how welfare changed.
3. Then more quickly show a high price, doing it with TS maybe here.
4. Then force a few more people to exchange and see what happens to TS.
5. Then do first welfare theorem.

Sep 23 | Used in Class

1. Review B3 in seven stages, with Exercise B3 Q2 before equilibrium.
2. The gains from trade. CS and PS on one exchange become total surplus.
3. A price floor at \$6. The lost gains, then one pair that can't trade.
4. A price ceiling at \$3. The lost gains, then one pair that can't trade. Exercise B4 Q1.
5. Give that pair the trade. The market without controls allows all beneficial trades.
6. Trades beyond equilibrium. Negative TS.
7. First welfare theorem. Exercise B4 Q2.

Sep 22 | Proposed, Back Half

1. How much does the market benefit buyers and sellers. Total surplus.

2. Can we increase it by raising the price? DWL is the TS we could have had. Zoom into a pair that doesn't trade because of the price control.
3. Then lower the price. Show the DWL again with a specific pair.
4. Give them the trade. TS is maximized by allowing all these people to trade.
5. We don't want anything more. Force the next pair to trade and they lose benefit. Negative TS.

Sep 22 | Animator's Draft, Planner First

1. Review B3 in seven stages.
2. Could we do better? The planner's two choices.
3. Who should trade. The highest value buyers and the lowest cost sellers.
4. How many trades. Add pairs while MB is above MC.
5. The market does it. First welfare theorem.
6. Price controls as applications. A ceiling, then a floor.
7. Does efficiency settle the policy question?

Replaced by the back half above.

Sep 22 | Notes

1. Is the market even good?
2. A price ceiling at \$3. Buyers can't jump the line. How much is sold?
3. Review CS, PS, and total surplus.
4. Welfare at \$3. DWL.
5. A price floor at \$6.
6. The social planner sets the price.
7. First welfare theorem and its two caveats. Efficiency.

Lecture 08

1. Is the market even good?
2. The government decides the price should be low. The shortage persists.
3. How much is sold? What's the welfare?
4. DWL.
5. The government mandates a high price.
6. First welfare theorem, two caveats, Adam Smith.
7. Surplus value intuition.

Original Script

1. Consumer surplus.
2. Producer surplus.
3. Efficiency and the social planner.
4. Price controls.

Nuances

- Price controls motivate the question of what's best.
- Start at equilibrium, since B3 just showed that setting.
- The back half should carry the decisions and styling of the front half.
- Comparing welfare changes under a price control to equilibrium may live better in B5.
- The interpretation is not that price controls are bad. Welfare analysis is a toolset for evaluating them.
- Surplus means value created. That's why we say excess.
- The theorem needs competitive markets and no externalities. Part E and Part C.

